Republic of the Philippines
ENERGY REGULATORY COMMISSION
Pasig City

ENERGY REGULATORY COMMISSION
APPROVED FOR POSTING
www.erc.gov.ph

RESOLUTION NO. 12, Series of 2020

A RESOLUTION PRESCRIBING THE TIMELINE FOR THE IMPLEMENTATION OF RETAIL COMPETITION AND OPEN ACCESS (RCOA)

WHEREAS, Section 43 of the Republic Act No. 9136 otherwise known as the Electric Power Industry Reform Act of 2001 (EPIRA) empowers the Energy Regulatory Commission (ERC) to promulgate rules and regulations, and perform regulatory functions appropriate and necessary to ensure the successful restructuring and modernization of the electric power industry;

WHEREAS, one of the key elements for the restructuring of the Philippine Electric Power Industry is the implementation of Retail Competition and Open Access (RCOA) which is mandated under Section 31 of EPIRA, and Rule 12 of its Implementing Rules and Regulations (IRR);

WHEREAS, pursuant to the said mandate, the ERC issued several Rules and Regulations governing the implementation of the RCOA, including the timeline for the implementation thereof;

WHEREAS, RCOA is currently being implemented for electricity customers with a monthly average peak demand of at least seven hundred fifty (750kW) for the preceding twelve (12) months;

WHEREAS, Section 31 of EPIRA provides that every year after the RCOA threshold reaches seven hundred fifty kilowatts (750kW), the ERC shall evaluate the performance of the market. Based on such evaluation, it shall gradually reduce the threshold level until it reaches the household demand level;

WHEREAS, pursuant to the foregoing mandate, the ERC has evaluated and studied the factors, including the readiness of the market, the necessary infrastructure/system, customer awareness, and the economic

impact of the migration of contestable customers in the Competitive Retail Electricity Market (CREM);

WHEREAS, the ERC's study showed that majority or seventy-one percent (71%) of the contestable customers have already migrated to the CREM, thus fostering growing competition in the market, resulting in the reduction of prices in electricity and benefitting those that have migrated to the CREM;

WHEREAS, the expansion of RCOA coverage will positively impact the economy by promoting competitive electricity rates in the market;

WHEREAS, in support of the National Government's thrust towards economic recovery, the ERC deems it necessary to set a timeline for the implementation of the RCOA threshold to guide stakeholders on their business plans and strategic decisions;

WHEREAS, in view of the aforementioned considerations, the Commission, on 29 September 2020, approved for posting on its official website (www.erc.gov.ph) the draft of its proposed "*Resolution Prescribing the New Timeline for the Implementation of Retail Competition and Open Access (RCOA),*" docketed as ERC Case No. 2020-002 RM;

WHEREAS, on various dates from 29 September to 12 October 2020, the ERC received comments on its proposed *Resolution Prescribing the New Timeline for the Implementation of Retail Competition and Open Access (RCOA)* which were considered in the final deliberation thereof. The comments were sent by stakeholders herein enumerated as follows: (1) Philippine Independent Power Producers Association; (2) MPower Local RES; (3) Angeles Electric Corporation; (4) Global Business Power Corporation; (5) SMC Global Power Holdings Corp. and Subsidiaries; (6) SOLVRE Inc.; (7) Market Operator/Central Registration Body; (8) Aboitiz Power Corporation; (9) GNPower Ltd. Corporation; (10) Private Electric Power Operators Association; (11) Manila Electric Company; (12) Clean Energy Investment Accelerator; and (13) Retail Electricity Supplier Association;

WHEREAS, after careful consideration of the various views and comments submitted by the stakeholders, the ERC deems it necessary to expand the coverage of RCOA to help foster economic growth through more competitive electricity prices in the market, thus encouraging more investors

in the country, and enabling a wider consumer base to enjoy the benefits of RCOA;

NOW THEREFORE, pursuant to its mandate of promoting competition and ensuring the development of the Philippine Electric Power Industry, the ERC hereby **RESOLVES**, as it is hereby **RESOLVED** to **APPROVE** and **ADOPT** the following:

1. The coverage of the RCOA shall be expanded for end-users with an average monthly peak demand of at least 500 kilowatts (500kW) in the preceding twelve (12) months, on a voluntary basis, subject to the effectivity dates provided herein.

2. Under the Phase III threshold level (500kW-749kW), qualified contestable customers with existing electronic meters capable of recording and reading interval of time, with a built-in communication port for remote and manual data retrieval, shall be allowed to switch to the CREM starting 26 February 2021.

   Qualified contestable customers with existing electronic meters capable of recording and reading interval of time, but which would need to be enhanced with a communication port for remote and manual data retrieval, shall be allowed to switch to the CREM upon completion of installation of such enhancements by the Meter Service Provider (MSP), within the 30-day period from the commencement date of Phase III threshold, or until 28 March 2021.

3. In lieu of the issuance of Certificates of Contestability, the monthly billing statement from the Network Service Provider (NSP) shall be considered as proof of contestability and shall be the basis for the contestable customers' retail market transactions.

   As such, the NSPs are required to notify the end-users, who have qualified to be contestable customers, by including

the following information in the subject end-user's monthly bill, *to wit*:

> *You are a qualified Contestable Customer; thus you can now choose your preferred supplier of electricity.*
>
> *For more details, including procedures for switching to your preferred Retail Electricity Supplier, please access the Energy Regulatory Commission RCOA website at www.buyyourelectricity.com.ph.*

Such clause shall be clearly written and shall be placed in a conspicuous spot in the monthly bill.

3.1 For those contestable customers with Certificate of Contestability issued prior to the effectivity of this Resolution, such certificate shall serve as proof of contestability and shall be the basis for retail market transactions. Thus, the notification thru the billing statements is no longer necessary for these certified contestable customers.

3.2 End-users needing confirmation on their qualification for contestability may seek such confirmation from the ERC.

4. RCOA shall be effective in grids where the Wholesale Electricity Spot Market (WESM) is operational. A separate rule shall be issued for the implementation of RCOA in Mindanao. All suppliers of electricity shall be licensed/authorized by the ERC to supply electricity in the CREM.

5. Without need of further notice, the NSP shall submit a monthly report to the ERC and the Central Registration Body containing information on end-users with an average monthly peak demand of 500kW and above every 15th day following the subject month.

A monthly report on end-users with an average monthly peak demand of 100kW or equivalent kWh consumption shall likewise be submitted to the ERC and the Central Registration Body every 20th day of the month following the period being reported, and shall include, but shall not be limited to the following:

(a) Customer Name;
(b) Billing and Service Addresses;
(c) Customer's Meter Number and Account Number;
(d) The most recent twelve (12) months of historical usage, i.e. monthly registered peak demand (in kW) and monthly total registered energy consumption (in kWh); and
(e) Customer Information such as telephone numbers and email addresses, subject to agreement on confidentiality.

6. For monitoring, the MSP shall submit Monthly Compliance Report as to the status of implementation and completion of the installation of metering facilities for Phase III threshold customers, without need of further notice.

7. All NSPs shall act on and complete the necessary requirements for customer switching, such as the Distribution Wheeling Service Agreement, Connection Agreement, among others, within twenty (20) days from receipt of the information on the effective switch date from the executed Retail Supply Contract (RSC) either from the RES, in case of a Single Billing Scheme, or the Contestable Customer, for Dual/Multiple Billing Scheme. The NSP shall submit a Compliance Report to the ERC covering the said directive, every July 30th and January 31st of each year.

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This Resolution shall take effect immediately following its publication in the Official Gazette or in a newspaper of general circulation in the Philippines.

Let copies of this Resolution be furnished to the University of the Philippines Law Center-Office of the National Administrative Register (UPLC-ONAR) and all industry stakeholders, as well as published in the ERC website and such other online platforms available to the Commission under the current circumstances.

Pasig City, 3 December 2020.

AGNES VST DEVANADERA
Chairperson & CEO

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"AVSTD-2020-12-570-0001"

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